City Attorney's Impartial Analysis of Measure SOS

If adopted by the voters, Measure SOS would authorize the City of South Pasadena to issue general obligation bonds to finance the acquisition, construction, completion, improvement, reconstruction, rehabilitation or replacement of the City's streets, roads and sidewalks, including curbs, gutters and parkways, evacuation routes and storm drains (together, the "Improvements"). Measure SOS was placed on the ballot by the South Pasadena City Council.

General obligation bonds are a common way cities can finance public improvements and are authorized by the California Constitution and Government Code. Measure SOS limits the principal amount of the bonds to no more than $80,000,000. Principal and interest payments for the bonds, commonly known as debt service, will be paid solely from the revenues produced by a tax on real property in the City, authorized by Measure SOS.

The City's published Tax Rate Statement estimates that the property taxes levied to pay the debt service would be at an average tax rate of $0.03233 per $100 (or $32.33 per $100,000) of the assessed value of property taxed. The actual tax rate will vary over the term of the repayment of the bonds based on factors such as the timing of bond sales, the amount of bonds sold, market interest rates at the time of each sale and the assessed valuation of the property. The actual interest rates at which the bonds will be sold are set by the bond market at the time of each sale. The City proposes to issue one or more series of general obligation bonds over time.

The City estimates the tax would generate $4,400,000 annually to pay the bond principal and interest. The final fiscal year the tax will be collected is 2062-2063.

Measure SOS contains accountability requirements, including that bond proceeds must be deposited in a separate account to be spent solely for the Improvements set forth in Ordinance No. 2416, and not for any other purpose. In addition, the City's Chief Financial Officer must file a public report with the City Council at least annually showing the amount of the bond proceeds collected and spent, and the status of the Improvements. The final costs, locations, designs, layouts and other components of the Improvements will be determined as plans are finalized, construction bids are awarded, and projects are completed.

In order to pass, Measure SOS must be approved by two-thirds of the voters.

A "yes" vote on Measure SOS authorizes the City to issue general obligation bonds for the acquisition, construction, completion, improvement, reconstruction, rehabilitation or replacement of the City's streets, roads and sidewalks, including curbs, gutters and parkways, evacuation routes and storm drains.

A "no" vote on Measure SOS is against the issuance of such bonds.

The above statement is an impartial analysis of Measure SOS. If you desire a copy of Measure SOS, please call the City Clerk's office at (626) 403-7230 or (626) 403-7231 and a copy will be mailed at no cost to you.

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Roxanne M. Diaz, City Attorney
City of South Pasadena